

CLASS 10 · ICSE · SELINA CONCISE MATHEMATICS · PYQ SOLUTIONS

Chapter 3: Shares and Dividend

Step-by-step solutions to the previous year questions

The question numbers match the PYQ question sheet.

1 Return on investment

1. A company pays a 12% dividend on its shares. An investor's return on his investment is 10%. The shares were bought: (a) at par (b) below par (c) above par (d) cannot be determined

ICSE 2025, 1 mark

SOLUTION

The return (10%) is less than the dividend rate (12%), so each share cost more than its nominal value.

Answer: (c)

2. A man buys ₹200 shares of a company at a premium of 25%. His return on the investment is 5%. Find (a) the market value of a share (b) the dividend per cent declared (c) the number of shares bought if his annual dividend is ₹1000. ICSE 2025, 3 marks

SOLUTION

(a) Market value = $200 + 25\% \text{ of } 200 = 250$. **Market value: ₹250.**

(b) Income per share = $5\% \text{ of } 250 = 12.50$. Dividend per cent = $\frac{12.50}{200} \times 100$. **Dividend: 6.25%.**

(c) Number of shares = $\frac{1000}{12.50}$. **80 shares.**

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